

Cloudnomics

Benchmarking analysis reveals risk and valuation differences

- ◆ Azure, AWS and Google cloud enjoy the best ROIC, but AWS' ROIC seems boosted by higher short-duration leasing
- ◆ On a risk-adjusted basis, we conclude Azure and Google Cloud are most attractively priced while CoreWeave is least
- ◆ High customer concentration risk; OpenAI/Anthropic account for c50% of OCI, Azure, Google Cloud and AWS RPO

Azure, AWS and Google enjoy best ROIC: We estimate Microsoft Azure, Amazon AWS and Google Cloud CY27e ROIC at 14.6%, 18.9% and 16.0% vs single-digit percentages for Oracle cloud infrastructure and CoreWeave. We believe the inclusion of general-purpose cloud as opposed to more commoditized GPU-focused cloud in Azure, AWS and Google Cloud helps them earn superior returns. As long as OpenAI and Anthropic finances or liquidity remain strong, we see little reason for Amazon, Google or Microsoft to curtail their capex as their balance sheets remain strong and ROIC is well ahead of WACC. Neoclouds' ability to incur capex may be dependent on continued access to customer financing or equity infusions.

AWS has higher short-duration contract exposure: AWS returns seem bolstered by a higher portion of short-term contracts. We estimate AWS's RPO (remaining performance obligations) cover is 2.5 years of its HSBC expected NTM (next 12 months) revenue vs 3.4x for Microsoft Azure and Google Cloud. Short-term contracts offer higher prices, but also higher re-leasing risks. CoreWeave and OCI's RPO account for 6.4 and 18.8 years of their NTM revenue, respectively.

Microsoft Azure and Google cloud offer lowest EV/EBIT: We estimate Microsoft Azure is trading at an implied 2028e EV/non-GAAP EBIT after share-based compensation of 14.1x vs Amazon AWS at 18.2x and CoreWeave at 27.0x. Oracle is also inexpensive at 14.0x, but has higher financial risks. Google Cloud is trading at the cheapest market-implied 2028e EV/non-GAAP EBIT after SBC of 10.1x but as c75% of Google's value comes from non-cloud business, our analysis is dependent on correctly valuing the non-cloud business.

Oracle offers best EV/Remaining performance obligation: OCI has the lowest implied EV/RPO of 0.45x, likely reflecting far dated growth and market concerns around financing. CoreWeave is trading at a higher EV/RPO of 0.92x even though we believe financing risks are higher for CoreWeave than for Oracle. EV/RPO is lower for both companies than for hyperscalers as we expect lower margins for CoreWeave and OCI. Microsoft Azure (2.87x) and Google Cloud (2.17x) are trading at 2-3x EV/RPO reflecting market confidence about their margins and execution.

Google and Microsoft offer strong risk/reward: Market-implied valuations of Azure and Google cloud appear most attractive. Oracle also screens favourably on valuation, but has moderately high net debt/non-GAAP EBIT (2027e: 3.6x).

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Amazon AWS and Google Cloud offer best ROIC

As can be seen below and on the next page, Amazon AWS Microsoft Azure and Google cloud offer the best asset turnover, non-GAAP operating margins and ROIC while CoreWeave and Oracle Cloud Infrastructure the worst. We believe this reflects:

- ◆ GPU focused clouds are commoditized. The share of GPU-focused offering in CoreWeave and Oracle Cloud Infrastructure is 100% and close to 100%, respectively. Amazon AWS, Microsoft Azure and Google Cloud have significant general purpose cloud offering, which is less asset intensive and offers superior asset turnover and returns.
- ◆ As explained below, Amazon AWS is the most exposed to short-term contracts. Renting GPUs on a short-term basis results in higher prices, but also higher risks of a precipitous decline in rents if rental prices for the existing GPUs fall. This could be due to either lower overall compute demand or because new GPUs with significantly superior price to performance become available.
- ◆ As explained later in this report, Google's asset turnover has seen significant improvement over the last few quarters. We believe, it reflects rising use of Google's in-house TPUs, which could result in superior price to performance for Google. In addition, Google includes the revenue generated from its AI offerings, such as from Gemini LLM's in its cloud revenue, which could be helping asset turnover and margins.

Cloud Infrastructure providers at a glance

Cloud infrastructure providers at a glance

FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Asset turnover: Gross assets, ex wip and including leased assets								
Oracle: OCI	26.9%	29.6%	24.4%	20.9%	22.7%	26.2%	28.3%	29.1%
Amazon: AWS	100.6%	85.8%	66.7%	52.6%	43.4%	39.2%	37.4%	37.4%
Google Cloud	27.7%	33.1%	34.7%	40.7%	42.4%	42.4%	NA	NA
Microsoft *	38.9%	37.8%	37.5%	37.7%	36.4%	35.8%	34.6%	35.3%
CoreWeave	NA	NA	22.8%	23.5%	25.8%	26.8%	26.8%	26.7%
Non-GAAP operating margin								
Oracle: OCI*	17.6%	21.6%	25.7%	29.1%	29.5%	30.2%	31.0%	31.4%
Amazon: AWS	36.7%	45.1%	43.1%	43.5%	43.6%	43.7%	43.1%	42.5%
Google Cloud (GAAP)	5.2%	14.1%	23.7%	35.1%	35.6%	35.6%	NA	NA
Google Cloud (Non-GAAP)*	9.5%	17.6%	25.7%	36.7%	37.6%	38.0%	NA	NA
Microsoft *	39.0%	39.5%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%
CoreWeave	0.3%	18.6%	13.0%	6.9%	14.2%	16.4%	15.5%	15.1%
ROIC (Non-GAAP EBIT/Gross assets, ex wip and incl leased assets)								
Oracle: OCI	4.7%	6.4%	6.3%	6.1%	6.7%	7.9%	8.8%	9.1%
Amazon: AWS	36.9%	38.7%	28.8%	22.9%	18.9%	17.2%	16.1%	15.9%
Google Cloud: GAAP	1.4%	4.7%	8.2%	14.3%	15.1%	15.1%	NA	NA
Google Cloud: Non-GAAP	2.6%	5.8%	8.9%	14.9%	16.0%	16.1%	NA	NA
Microsoft	15.2%	15.0%	15.0%	15.1%	14.6%	14.3%	13.8%	14.1%
CoreWeave**	NA	6.5%	3.9%	2.1%	4.7%	5.6%	5.2%	4.9%

Source: Company data, HSBC estimates *Even historical numbers estimated by HSBC **ROIC rises to high single digit % if we include the impact of customer advances
***Google cloud reports only GAAP segment results. We estimate non-GAAP numbers by assuming same SBC/Revenue as for the overall company

Cloud Infra providers: Comparative revenue trajectory

CY	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue (USDm)									
AWS	80,096	90,757	107,556	128,725	170,548	225,960	297,115	387,707	505,920
Google Cloud	26,280	33,088	43,229	58,705	111,170	187,915	277,669	NA	NA
Oracle Cloud as Infra	2,010	4,021	6,380	10,447	21,242	46,956	88,054	129,586	163,571
CoreWeave	16	229	1,915	5,131	12,540	24,592	36,455	46,056	53,156
Microsoft Azure*	37,324	48,292	64,295	88,670	130,044	192,751	274,439	357,651	465,325
Revenue growth (YoY)									
AWS		13.3%	18.5%	19.7%	32.5%	32.5%	31.5%	30.5%	30.5%
Google Cloud		25.9%	30.6%	35.8%	89.4%	69.0%	47.8%	NA	NA
Oracle Cloud as Infra		100.1%	58.6%	63.8%	103.3%	121.1%	87.5%	47.2%	26.2%
CoreWeave		1346.3%	736.6%	167.9%	144.4%	96.1%	48.2%	26.3%	15.4%
Microsoft Azure*		29.4%	33.1%	37.9%	46.7%	48.2%	42.4%	30.3%	30.1%

Source: Company data, HSBC estimates

Cloud infra providers: Comparative capex trajectory

CY	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Capex (USDm)									
AWS	30,402	31,000	52,638	94,860	185,537	234,503	287,438	334,941	374,797
Google	31,485	32,251	52,535	91,447	205,000	250,000	312,500	NA	NA
Oracle	6,678	6,935	10,745	35,477	80,128	110,000	110,000	100,000	82,991
CoreWeave	72	2,943	8,702	10,309	38,675	36,246	28,675	32,883	34,611
Microsoft	28,400	41,200	75,600	118,000	175,702	238,800	268,620	295,251	310,014
META	31,186	27,045	37,256	69,691	137,771	172,896	181,896	183,072	185,685
Total Big 6	128,223	141,374	237,476	419,785	822,812	1,042,445	1,189,128	1,274,272	1,332,628
Capex (y-o-y)									
AWS	73.8%	2.0%	69.8%	80.2%	95.6%	26.4%	22.6%	16.5%	11.9%
Google	27.8%	2.4%	62.9%	74.1%	124.2%	22.0%	25.0%	NA	NA
Oracle	114.2%	3.8%	54.9%	230.2%	125.9%	37.3%	0.0%	-9.1%	-17.0%
CoreWeave		3964.9%	195.7%	18.5%	275.1%	-6.3%	-20.9%	14.7%	5.3%
Microsoft	3.3%	45.1%	83.5%	56.1%	48.9%	35.9%	12.5%	9.9%	5.0%
META	68.0%	-13.3%	37.8%	87.1%	97.7%	25.5%	5.2%	0.6%	1.4%
Total Big 6	40.4%	10.3%	68.0%	76.8%	96.0%	26.7%	14.1%	7.2%	4.6%

Source: Company data, HSBC estimates

Amazon AWS most exposed to short-term contracts

Amazon AWS' RPO equals around 2.5 years of current revenue run rate vs 3.4 years for Microsoft Azure and Google Cloud and more than 6 years for CoreWeave and Oracle. Oracle's cloud revenue can rise substantially, based on existing contracts. Current RPO is nearly 18.8x the OCI revenue we expect over the next 12 months. High RPO to current revenue run rate explains why we can confidently model strong revenue growth for Oracle for several years to come even if no further orders are received.

Cloud infrastructure providers: Long term vs short-term offtake

USDm	Oracle	Amazon	Google	Microsoft	CoreWeave
Total RPO	638,000	496,000	519,500	684,000	98,800
RPO related to non-cloud-infra business*	51,591	-	5,600	145,863	-
RPO related to cloud infra business	586,409	496,000	513,900	538,137	98,800
Years of cloud infra revenue in RPO**	18.8##	2.5	3.4	3.4	6.4
Current RPO	63,756	NA	129,875	205,200	17,784
Current RPO related to non-cloud-infra business	38,818	NA	1,400	87,518	-
Current RPO related to cloud infra business	24,938	NA	128,475	117,682	17,784#
NTM revenue	85,851	882,174	555,203	402,719	15,465
Non-cloud-infra	54,678	683,920	405,661	243,779	0
Cloud infra	31,173	198,254	149,542	158,940	15,465

Source: Company data, HSBC estimates #Assuming 50% of next 2 year RPO ##Revenue still in ramp up mode *Estimated by HSBC **RPO/NTM revenue estimated by HSBC

Azure and GCP offer best value among hyperscalers

We consider three methodologies for valuing the respective cloud infrastructure businesses, i.e.:

- ◆ **Methodology 1: Valuing cloud infra using EV/EBIT**
- ◆ **Methodology 2: Valuing cloud infra on EV/RPO**
- ◆ **Methodology no.3: Valuing cloud infra on EV/Net PP&E**

In order to carry out this analysis, we start with 2026e, 27e and 28e EV for each company. We use current share price but HSBC forecast 2026, 2027 and 2028 share count and net debt to estimate the EV. We then subtract our estimate of the value of the non-cloud business from the companywide EV.

For Amazon and Google, we use our NPV estimate of non-cloud business of USD947bn and USD3,384bn, respectively.

We value Microsoft's non-Azure business at USD2,099bn, which is 16.0x CY27e non-GAAP EV/EBIT after SBC for Microsoft's non-Azure business. 16.0x is the median EV/EBIT after SBC for the technology sector.

We value Oracle's non-OCI business at USD273bn, which is 11.2x CY27e non-GAAP EV/EBIT after SBC. We are using a 30% discount to the sector median to reflect lower growth rate at Oracle's non-OCI business.

Hyperscalers and neocloud: Splitting cloud infra EV from the rest (USDm)

Company	Total EV			Non-Cloud EV			Cloud EV		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Microsoft	3,644,811	3,661,036	3,645,243	2,098,985	2,098,985	2,098,985	1,545,826	1,562,051	1,546,259
Oracle	534,756	592,704	628,347	272,673	272,673	272,673	262,083	320,031	355,674
CoreWeave	90,772	110,463	114,245	0	0	0	90,772	110,463	114,245
Amazon	3,165,471	3,250,205	3,312,751	946,730	946,730	946,730	2,218,741	2,303,474	2,366,021
Google	4,498,307	4,443,994	4,385,401	3,383,883	3,383,883	3,383,883	1,114,425	1,060,111	1,001,518

Source: Company data, HSBC estimates

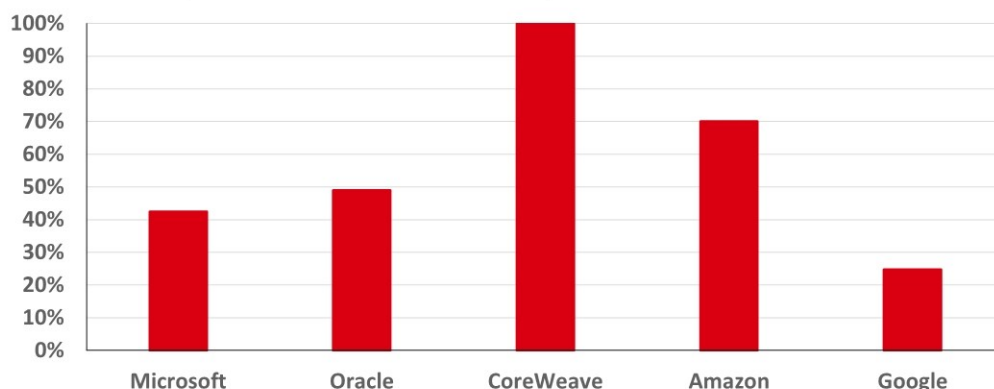
Hyperscalers and neocloud: Splitting cloud infra from the rest

USDm, FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e	25-30e CAGR
Non-GAAP operating profit after SBC									
Oracle	18,824	20,781	22,262	27,762	37,085	51,200	66,129	78,777	28.8%
Oracle cloud infrastructure**	467	975	2,019	5,109	12,700	25,462	38,967	50,063	90.0%
Rest of Oracle	18,357	19,806	20,243	22,653	24,385	25,738	27,162	28,715	7.2%
Amazon	37,619	69,356	84,614	110,640	146,743	183,748	226,831	279,485	27.0%
Amazon AWS	33,308	48,488	55,489	74,193	98,464	129,967	166,957	214,957	31.1%
Rest of Amazon	4,312	20,868	29,125	36,447	48,279	53,781	59,873	64,528	17.2%
Google (GAAP)	84,293	112,390	129,039	178,844	225,851	271,046			28.1%*
Google cloud	1,716	6,112	13,910	39,032	66,872	98,812			92.2%*
Rest of Google	82,577	106,278	115,129	139,812	158,979	172,234			14.4%*
Microsoft	100,533	117,711	142,559	171,243	208,499	255,370	302,870	356,304	20.1%
Microsoft Azure**	18,834	25,417	35,468	52,017	77,100	109,776	143,061	186,130	39.3%
Rest of Microsoft	81,699	92,294	107,091	119,226	131,399	145,595	159,809	170,174	9.7%
CoreWeave	-14	324	37	36	2,175	4,233	5,088	5,741	174.0%

Source: Company data, HSBC estimates *2025-28e **Even historical numbers are our estimates

Based on the valuation approach above, we arrive at the following split of cloud infra and the rest of the business.

Cloud Infra enterprise value as a % of total enterprise value*



Source: Company data, HSBC estimates *Priced as on 4 August 2026

Methodology 1: Valuing cloud infra using EV/EBIT

We estimate Microsoft Azure is trading at an implied 2028e EV/non-GAAP EBIT after share-based compensation of 14.1x, which is at a significant discount to Amazon AWS (18.2x) and CoreWeave (27.0x). Oracle is also inexpensive at 14.0x, but also has higher financial risks and less detailed disclosures.

Google Cloud is trading at the cheapest market-implied 2028e EV/non-GAAP EBIT after SBC of 10.1x. However, c75% of Google's value comes from non-cloud business and our analysis could give a different conclusion about Google Cloud's market-implied valuation if, for example, our valuation for the non-cloud part is too high/low.

Microsoft Azure is trading at an implied 29.7x 2026 EV/EBIT after SBC, which is at a slight premium to 28.6x for Amazon AWS. However, considering we expect Microsoft Azure's EBIT after SBC to rise at a CAGR of 39.3% over 2025-30e vs 31.1% for Amazon, the EV/EBIT multiple for Microsoft Azure becomes lower than for Amazon AWS by 2028e.

Market-implied valuation of cloud infrastructure businesses (USDm)

Company	EV for cloud business			Non-GAAP EBIT after SBC*			EV/EBIT (Non-GAAP, after SBC)		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Microsoft Azure	1,545,826	1,562,051	1,546,259	52,017	77,100	109,776	29.7x	20.3x	14.1x
Oracle Cloud Infrastructure	262,083	320,031	355,674	5,109	12,700	25,462	51.3x	25.2x	14.0x
CoreWeave	90,772	110,463	114,245	36	2,175	4,233	2506.1x	50.8x	27.0x
Amazon AWS	2,218,741	2,303,474	2,366,021	74,193	98,464	129,967	29.9x	23.4x	18.2x
Google Cloud	1,114,425	1,060,111	1,001,518	39,032	66,872	98,812	28.6x	15.9x	10.1x

Source: Company data, HSBC estimates *Treating share based compensation as a real expense

Methodology 2: Valuing cloud infra on EV/RPO

If we value cloud infra segments on EV/remaining performance obligations, Oracle screens to be the cheapest at 0.45x, reflecting far-dated growth and market concerns around financing.

Surprisingly, CoreWeave is trading at a higher EV/RPO of 0.92x even though we believe financing risks are higher for CoreWeave than for Oracle. EV/RPO is likely to be lower for both the companies than for hyperscalers as we expect lower margins for CoreWeave and Oracle Cloud Infrastructure than for hyperscalers' cloud infra businesses.

Microsoft Azure (2.87x) and Google Cloud (2.17x) are trading at 2-3x EV/RPO, reflecting market confidence about their margins and execution.

Amazon is trading at a higher 4.47x EV/RPO, reflecting a significant portion of Amazon's revenue comes from shorter dated contracts and the total size of RPO is lower when compared with the annual revenue. Selling via shorter-dated contracts generally results in higher prices, but higher risks if the market wide GPU rents were to decline.

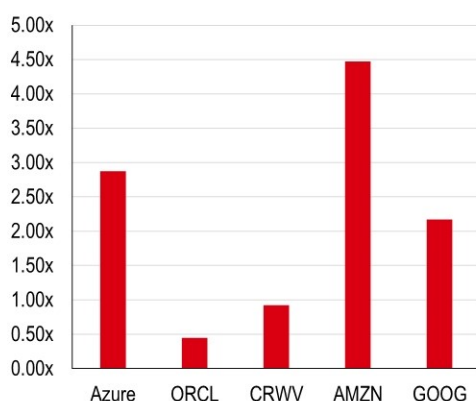
Methodology 3: Valuing cloud infra on EV/Net PP&E

As cloud infra business is capex heavy, we could also value it on EV/Net PP&E. On this metric, Microsoft Azure And Amazon AWS appears the most expensive at 6.1x and 5.6x EV/Net PP&E while CoreWeave appears cheapest at 3.4x. We believe the difference can be explained by much higher margins and higher asset turnover enjoyed by Microsoft Azure and Amazon AWS as compared with CoreWeave.

EV/Net PP&E for Amazon and Google are likely to be understated because we have assumed the entire PP&E is being used for the cloud infra business. This assumption is incorrect for Amazon and Google as a significant part of PP&E is likely being used for e-commerce (in the case of Amazon) and search (Google). Microsoft and Oracle have significant non-cloud infra business (software) but those are not capex/asset intensive.

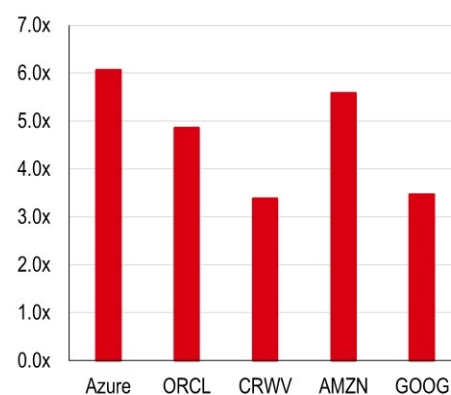
Microsoft and Oracle report total companywide RPO but do not split them into cloud infra vs software segments. We have estimated the split.

EV/RPO for cloud infra business



Source: Company data, HSBC estimates *As on 4 August 2026

EV/Net PP&E for cloud infra business



Source: Company data, HSBC estimates *As on 4 August 2026

CoreWeave most reliant on customer advances

- ◆ Around 18.1% of CoreWeave's gross PP&E was funded by customer advances, although the ratio has dipped from more than 40% in 1Q24. Given CoreWeave's non-investment grade credit rating and high cost of borrowing, which often exceeds its ROIC as estimated by us, we expect CoreWeave to continue to rely on customer advances to partially fund its capex.
- ◆ Oracle also suffers from weaker ROIC than the trio of Amazon AWS, Microsoft Azure and Google Cloud, but it has an investment grade credit rating (BBB-) and low cost of borrowing (5-year USD bond yield of about 5.9%). Nevertheless, Oracle is increasingly favouring customers financing as a substantial proportion of the capex that is required to serve them. In 2QCY26, the company had USD4,592m of interest bearing customer financing in addition to USD15,395m of non-interest-bearing customer advances. Total customer advances and financing was 16.3% of gross PP&E at 2QCY26.
- ◆ Microsoft also has a high customer advance to gross PP&E ratio. But we believe most of the customer advances pertain to Microsoft's non-Azure business and Microsoft is not particularly reliant on customer advances to fund its capex.
- ◆ Amazon and Google have low customer advances to gross PP&E ratio.

Customer advances as a % of gross PP&E (last reported, USDm)

Company	Gross PP&E	ST Deferred revenue	LT deferred revenue	Total customer advances	Customer advances/gross PP&E
Oracle	122,651	9,916	10,071**	19,987	16.3%
Amazon	640,881	20,438	4,500	24,938	3.9%
Google	427,124	7,154	2,946	10,100	2.4%
Microsoft	432,754	72,965*	2,747	75,712	17.5%
CoreWeave	41,636	2,130	5,393	7,523	18.1%

Source: Company data, HSBC estimates

High customer concentration

We estimate OpenAI and Anthropic account for c50% of RPO for Oracle, Amazon, Google and Microsoft. Considering both OpenAI and Anthropic are currently private, there is significant uncertainty in assessing customer concentration risk for hyperscalers. CoreWeave has done a remarkable job of diversifying its order book, but continues to be plagued by low margins and poor ROIC, which seems to be below its cost of borrowing, according to our estimates.

Cloud infrastructure providers: High customer concentration

USDm	Oracle	Amazon	Google	Microsoft	CoreWeave
Total RPO	638,000	496,000	519,500	684,000	98,800
OpenAI	300,000	138,000	NA	283,950	22,400
Anthropic	NA	100,000*	259,750#	30,000	NA
Meta	NA	NA	-	-	35,000
Other	338,000	258,000	259,750	370,050	41,400
Total RPO	100%	100%	100%	100%	100%
OpenAI	47%	28%	NA	42%	23%
Anthropic	NA	20%	50%	4%	NA
Meta	NA	NA	0%	0%	35%
Other	53%	52%	50%	54%	42%

#USD200bn deal announced, we added a further estimated figure "Only USD100bn of "additional order" announced. We believe total RPO attributable to Anthropic will likely be higher than to OpenAI given Amazon's closer ties to Anthropic

Source: Company data, HSBC estimates

CoreWeave and Oracle face highest financial risks

We expect Oracle and CoreWeave to have slightly uncomfortable net debt/non-GAAP EBIT of more than 3x and 17x over 2026-27e. CoreWeave also pays the highest interest rate among all the cloud infrastructure providers under our coverage while Oracle is a distant second. CoreWeave has a LT issuer default rating of (Fitch BB-, S&P B+/Positive and Moody's Ba3 (equivalent to BB-)). Oracle has a LT issuer default rating of (Fitch BBB and S&P BBB-).

Net debt/non-GAAP EBIT: Oracle and CoreWeave have highest financial leverage (ratio)

Net debt/Non-GAAP EBIT	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Oracle	2.9	4.2	3.7	3.2	3.4	3.2	3.6	3.2	2.6	1.7
Amazon	0.5	2.1	0.8	0.3	0.3	0.4	0.7	0.5	0.2	-0.2
CoreWeave	NA	0.0	1,995.1	17.3	26.2	49.3	17.8	11.0	9.4	8.7
GOOG	-1.3	-1.0	-0.9	-0.6	-0.5	-0.8	-0.5	-0.6	NA	NA
Microsoft	-0.9	-0.6	-0.1	-0.2	-0.3	-0.1	0.0	-0.1	-0.4	-0.7

Source: Company data, HSBC estimates

Cloud infra providers: LT issuer default ratings and bond yields

Company	S&P	Moody's*	Fitch	5 yr USD bond yield
Oracle	BBB-/Stable	BBB/Negative**	BBB/Stable	5.9%
Amazon	AA/Stable	A+/Stable	AA-/Stable	4.8%
Google	AA+/Stable	AA/Stable	NA	4.7%
Microsoft	AAA/Stable	AAA/Stable	AAA/Stable	4.4%
CoreWeave	B+/Positive	BB-/Stable	BB-/Stable	11.0%

Source: Company data, HSBC *Negative or positive outlook is assigned by the credit rating agency and signals the likely trajectory of rating (downgrade vs upgrade)

Liquidity not a concern for hyperscalers

According to our estimates, Microsoft, and Google are likely to largely retain their net cash position and Amazon's net financial leverage is likely to remain unremarkable. FCF is likely to remain slightly negative or neutral over 2026 and 2027, but likely to recover 2028 onwards.

Net debt (cash) at major technology companies (USDm)

Net debt	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
ORCL	55,593	83,569	80,099	77,313	88,309	101,670	147,989	179,111	181,459	138,810
AAPL	-79,798	-54,340	-64,535	-45,957	-39,166	-66,409	-112,531	-166,307	-226,846	NA
AMZN	20,346	70,092	48,831	29,698	29,958	116,337	178,978	217,466	255,208	272,839
CRWV	NA	NA	1,403	6,153	17,464	42,341	62,031	65,814	67,537	69,689
GOOG	-124,832	-99,061	-97,663	-84,774	-80,296	-156,226	-138,754	-133,685	NA	NA
META	-47,998	-30,815	-47,018	-48,989	-22,848	3,675	11,851	-13,392	-77,461	-177,513
MSFT	-72,111	-51,392	-6,798	-26,585	-49,200	-22,339	-5,340	-33,158	-108,296	-255,264
NVDA	-10,262	-2,343	-16,275	-34,747	-54,088	-252,269	-552,063	NA	NA	NA

Source: Company data, HSBC estimates

FCF at major technology companies (USDm)

FCF	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
ORCL	7,139	8,395	10,105	9,542	-13,181	-34,202	-40,190	-24,931	3,911	48,978
AAPL	101,853	97,498	106,867	106,298	109,083	146,712	168,928	177,341	184,847	NA
AMZN	-9,069	-11,569	36,786	38,219	11,194	-40,723	-27,070	-37,916	-37,170	-17,058
CRWV	NA	-71	-1,110	-5,953	-7,251	-25,297	-19,691	-3,783	-1,723	-2,152
GOOG	67,012	60,010	69,495	72,764	73,266	-47,158	6,851	21,013	NA	NA
META	39,116	19,289	44,068	54,072	46,109	6,518	26,656	61,432	101,632	137,695
MSFT	56,409	55,986	61,447	49,983	42,506	44,389	27,462	71,435	122,294	198,098
NVDA	8,132	3,808	27,021	60,853	96,676	224,093	331,534	NA	NA	NA

Source: Company data, HSBC estimates

Sector valuation

Comparative valuation treating share based compensation as a real expense

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR 26-28e	PEG 26e
					CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e		
Oracle	ORCL US	Buy	145.74	316.00	27.8	25.9	21.2	14.8	23.8	19.9	16.7	12.9	32.0%	0.81
Apple	AAPL US	Buy	309.38	366.00	39.6	33.6	29.5	27.3	32.9	27.4	23.9	21.8	10.8%	3.10
Adobe	ADBE US	Buy	257.49	308.00	15.2	13.0	11.7	10.5	12.1	10.7	9.4	8.3	11.3%	1.16
Autodesk	ADSK US	Buy	237.21	357.00	44.6	35.1	25.9	23.1	26.3	19.9	16.7	14.3	23.2%	1.51
Amazon	AMZN US	Buy	277.42	310.00	40.4	34.2	25.6	21.0	35.9	28.6	22.1	18.0	27.5%	1.24
Salesforce	CRM US	Buy	190.99	356.00	19.7	17.6	15.9	13.6	17.6	15.5	12.8	10.8	13.5%	1.30
CoreWeave	CRWV US	Reduce	91.90	36.00	-35.9	-20.4	-24.9	-50.7	1,547.9	2,506.1	50.8	27.0	NA	NA
Fair Isaac	FICO US	Reduce	1,046.99	707.00	39.5	24.0	23.4	23.8	28.7	18.1	18.0	18.4	0.4%	61.33
Alphabet	GOOG US	Buy	375.35	420.00	41.6	31.9	25.0	20.7	35.0	25.2	19.7	16.2	24.3%	1.32
HP	HPQ US	Buy	28.82	29.60	9.0	8.7	8.2	7.5	8.2	7.8	7.5	6.9	7.5%	1.16
IBM	IBM US	Reduce	235.15	174.00	20.3	19.3	19.1	17.0	18.0	17.4	16.0	13.9	6.7%	2.87
Intuit	INTU US	Buy	323.60	707.00	19.7	16.6	13.6	12.1	15.3	12.2	9.5	7.6	17.4%	0.96
Microsoft	MSFT US	Buy	492.81	595.00	31.9	26.0	21.9	17.9	25.5	21.3	17.6	14.3	20.3%	1.28
Palantir	PLTR US	Hold	162.66	162.00	300.5	121.3	79.9	64.0	261.2	102.3	64.4	51.6	37.7%	3.22
SAP (EUR)	SAP GR	Buy	167.38	196.00	27.4	24.0	20.1	17.8	18.5	16.4	13.6	11.8	16.0%	1.49
Snowflake	SNOW US	Buy	316.77	289.00	-94.7	-121.7	-164.8	-201.4	-99.8	-105.9	-133.5	-161.7	NA	NA
TE Connectivity	TEL US	Hold	216.82	216.00	22.8	18.5	16.7	15.0	18.8	15.1	13.3	14.7	11.0%	1.68
Median					27.4	24.0	20.1	17.0	18.5	17.4	16.0	12.9	18.8%	1.40

Source: LSEG Datastream, Company data, HSBC estimates *Depressed by unusually low tax rate in 2026 *Priced on 4 August 2026

Links to latest research reports

Broader sector

[Emerging competition highlights low barriers to entry](#) (3 July 2026)

[Cash me if you can: USD1.3trn and more to spend](#) (26 March 2026)

Amazon

[2Q revenue and OI beat driven by AWS](#) (31 July 2026)

Alphabet

[Q2 – GC performance leaves AI narrative unchanged](#) (23 July 2026)

CoreWeave

[Margin weakness seems structural](#) (8 May 2026)

Microsoft

[Buy: Two-pronged AI monetization is delivering](#) (31 July 2026)

Valuation and risks

Valuation		Risks
Alphabet GOOG US Buy	Current price: USD375.35 Target price: USD420.00 Up/downside: 11.9%	We use an SOTP analysis to reach our unchanged target price of USD420, based on unchanged peer group multiples. Our TP implies 11.9% upside. We retain our Buy rating as we see scope for further margin expansion alongside our positive view across both Search, Cloud and YouTube. We see Alphabet as being well placed to deal with market shocks. Our full valuation can be found overleaf. Downside risks ◆ Google Search losing meaningful query market share ◆ Google Cloud failing to win further contracts and reaching a lower market share than expected ◆ Price war within cloud server providers market - impacting margins ◆ Adverse FX scenarios ◆ Chasing growth, including expensive M&A ◆ Limited valuation support. Paul Rossington paul.rossington@hsbcib.com +44 (0) 7920 506 802
Amazon AMZN US Buy	Current price: USD277.42 Target price: USD310.00 Up/downside: 11.7%	Methodology: We use a DCF-based sum-of-the-parts (SOTP) to value Amazon. Assumptions: We assume a WACC of 8.0% with a cost of equity at 9.1%. This is based on a risk-free rate of 4.25%, equity risk premium of 4.0%, and company-specific beta of 1.32 (all unchanged). Our target price of USD310.00 implies 11.7% upside, and we have a Buy rating, supported by continued upside potential from the AWS, N. America, and International businesses in the short, medium, and long-term supported by an increase in the investment / capex run-rate and early stage of the cloud and AI cycles. Paul Rossington* paul.rossington@hsbcib.com +44 (0) 7920 506 802 Downside risks ◆ Incremental macro- / tariff-induced weakness. ◆ Slower-than-expected recovery in growth / margin expansion ◆ Escalation of regulatory risk ◆ Chasing growth including expensive M&A ◆ Limited valuation support
CoreWeave CRWV US Reduce	Current price: USD91.90 Target price: USD36.00 Up/downside: -60.80%	CoreWeave trades at a 26.2x 2028e non-GAAP consensus PE. Conservatively, we apply a c55% premium to the consensus multiple, resulting in our target PE of 41x (unchanged). On our 2028e non-GAAP EPS of USD0.88 we arrive at our USD36.00 (unchanged) target price. Our target price implies 60.80% downside and we maintain our Reduce rating. Abhishek Shukla* Abhishek2.Shukla@HSBC.com +971 5855 711 50 Upside risks: Better-than-expected contract terms with customers, stronger-than-expected demand for GPU-focused clouds, lower-than-expected competition, and better-than-expected macroeconomic and financial conditions
Microsoft MSFT US Buy	Current price: USD492.81 Target price: USD595.00 Up/downside: 20.7%	Our TP of USD595 is based on 29x our NTM non-GAAP EPS estimate of USD20.51 (unchanged). We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realized historically. Downside risks: Higher-than-expected competitive intensity, weaker-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153
Oracle ORCL US Buy	Current price: USD145.74 Target price: USD316.00 Up/downside: 116.8%	We use a target PEG of 1.75x (in line with major peers in the sector), along with our long-term non-GAAP EPS CAGR of 22.3% and next 12-month non-GAAP EPS estimate of USD8.11 to arrive at our target price of USD316 (all unchanged). Our TP implies 116.8% upside and we maintain our Buy rating. Downside risks: Unfavorable stock market and macroeconomic conditions; higher-than-expected competitive pressures; potential negative impact from an external IT hack; cloud infrastructure outage; and disruption due to management turnover. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

Priced at 4 August 2026
 Source: HSBC estimates

Valuation and risks (continued)

Amazon: Sum of the parts valuation

(in USDbn except per share data)	EV (USDbn)	% of EV	EV/sales*	2025	2026e	2027e	EV/EBITDA*	2025	2026e	2027e
AWS	2,516	73%	19.5x	14.7x	11.1x	32.1x	23.1x	17.0x		
Non-AWS (Ecommerce)	947	27%	1.6x	1.4x	1.3x	14.1x	9.7x	8.8x		
Total	3,462	100%	4.8x	4.2x	3.7x	23.8x	16.8x	13.6x		
Net Debt (2025)	(30.0)									
Less: M&A / Buybacks	(15)									
Other adjustments	15.0									
Equity value	3,432									
# of Shares Outstanding (in m)	11,057									
Price Target (USD, rounded)	310									
Current price	277.42									
Upside / (Downside)	11.9%									

Priced as at 4 August

Source: HSBC estimates

Alphabet: Sum-of-the-parts valuation

	Revenues		EBIT		EV		EV / sales		EV/EBIT		EV/Revs EV/EBIT		Rationale
	FY26	FY27	FY26	FY27	FY26	% of EV	FY26	FY27	FY26	FY27	Multiple	multiple	
Search	254.9	284.3	153.1	170.8	2,992	64.0%	11.7x	10.5x	19.5x	17.5x		19.0x	In line with internet peers with similar EBIT growth
YouTube Ads	45.7	51.5	7.8	9.3	220	4.7%	4.8x	4.3x	28.3x	23.6x		27.0x	Meta EV/EBIT at the HSBC TP
YouTube Subs	29.0	32.9	1.9	2.6	225	4.8%	7.8x	6.8x	120.6x	86.1x	7.5x		In-line with the Subscription peer group
YouTube	74.7	84.4	9.6	11.9	445	9.5%	6.0x	5.3x	46.2x	37.3x			Sum of the above
Network	29.1	28.3	4.4	4.3	35	0.7%	1.2x	1.2x	8.0x	8.2x		8.0x	Mature online business seeing negative growth
Other	24.7	28.1	4.5	4.8	50	1.1%	2.0x	1.8x	11.2x	10.5x		11.0x	Mature online business seeing stable revenues
Services - Total	383.4	425.2	171.5	191.7	3,521	75.4%	9.2x	8.3x	20.5x	18.4x			
Google Cloud	111.2	187.9	39.0	66.9	1,288	27.6%	11.6x	6.9x	33.0x	19.3x		28.0x	Premium to 16x sector median given faster growth
Other Bets	1.5	1.4	(7.1)	(7.2)	100	2.1%	68.0x	71.0x	-14.1x	-13.9x			
Alphabet level activities			(23.2)	(25.5)	(237.6)	-5.1%						10.0x	
Total	496.0	614.5	180.3	225.9	4,672	100.0%	9.4x	7.6x	25.9x	20.7x			
Tax benefit					10%								
Total EV					5,139		10.4x	8.4x	28.5x	22.8x			
Net debt (2025)					48.3								
Other					82								
Equity value					5,269								
# shares outstanding					12.6								
Target price (USD, rounded)					420.0								

Source: Company data, HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Stephen Bersey, Abhishek Shukla, CFA, Sameer Lam, Nicolas Cote-Colisson, Paul Rossington, Charlie Rothbarth, Mohammed Khallouf, CFA and Frank Lee

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

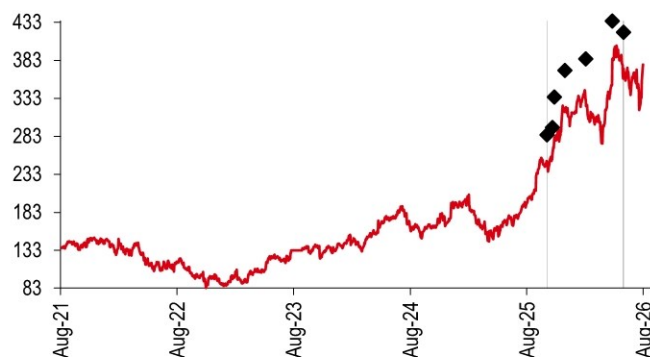
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

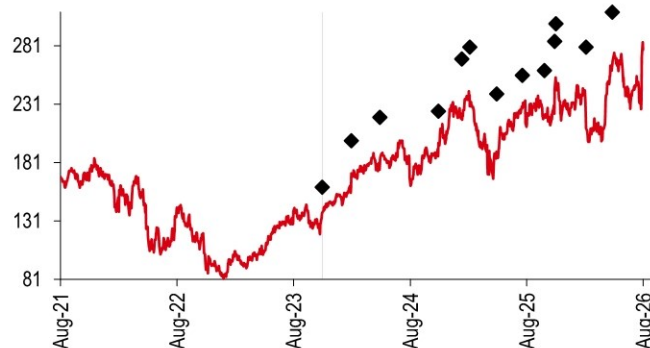
Share price and rating changes for long-term investment opportunities
Alphabet (GOOGL.N) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	07 Oct 2025	Paul Rossington
Buy	Restricted	02 Jun 2026	
Restricted	Buy	04 Jun 2026	Paul Rossington
Target price	Value	Date	Analyst
Price 1	285.00	07 Oct 2025	Paul Rossington
Price 2	295.00	24 Oct 2025	Paul Rossington
Price 3	335.00	30 Oct 2025	Paul Rossington
Price 4	370.00	02 Dec 2025	Paul Rossington
Price 5	385.00	05 Feb 2026	Paul Rossington
Price 6	435.00	30 Apr 2026	Paul Rossington
Price 7	Restricted	02 Jun 2026	
Price 8	420.00	04 Jun 2026	Paul Rossington

Source: HSBC

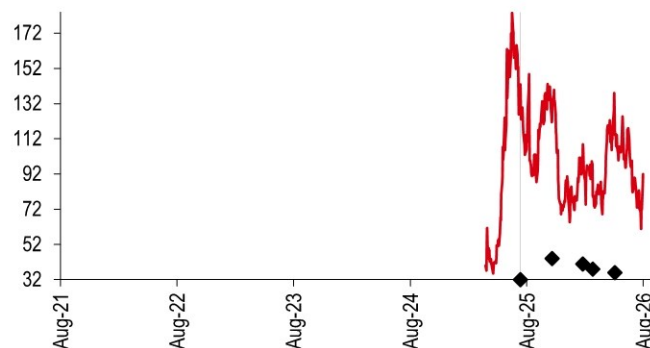
Amazon.com (AMZN.OQ) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	02 Nov 2023	Christopher Johnen
Target price	Value	Date	Analyst
Price 1	160.00	02 Nov 2023	Christopher Johnen
Price 2	200.00	02 Feb 2024	Christopher Johnen
Price 3	220.00	01 May 2024	Christopher Johnen
Price 4	225.00	01 Nov 2024	Christopher Johnen
Price 5	270.00	13 Jan 2025	Christopher Johnen
Price 6	280.00	07 Feb 2025	Christopher Johnen
Price 7	240.00	02 May 2025	Christopher Johnen
Price 8	256.00	22 Jul 2025	Paul Rossington
Price 9	260.00	29 Sep 2025	Paul Rossington
Price 10	285.00	31 Oct 2025	Paul Rossington
Price 11	300.00	04 Nov 2025	Paul Rossington
Price 12	280.00	06 Feb 2026	Paul Rossington
Price 13	310.00	30 Apr 2026	Paul Rossington

Source: HSBC

CoreWeave Inc (CRWV.N) share price performance USD Vs HSBC rating history


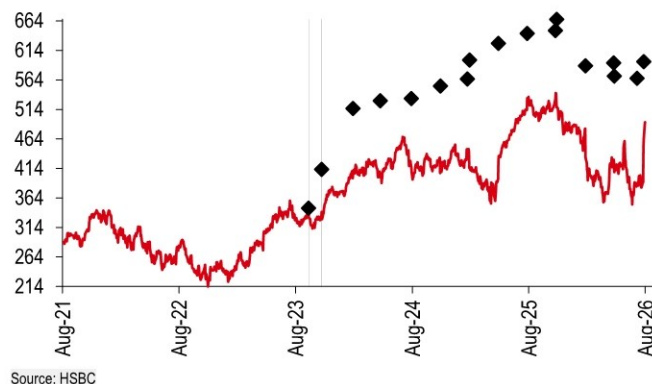
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Reduce	16 Jul 2025	Abhishek Shukla, CFA
Target price	Value	Date	Analyst
Price 1	32.00	16 Jul 2025	Abhishek Shukla, CFA
Price 2	44.00	23 Oct 2025	Abhishek Shukla, CFA
Price 3	41.00	27 Jan 2026	Abhishek Shukla, CFA
Price 4	38.00	27 Feb 2026	Abhishek Shukla, CFA
Price 5	36.00	08 May 2026	Abhishek Shukla, CFA

Source: HSBC

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history

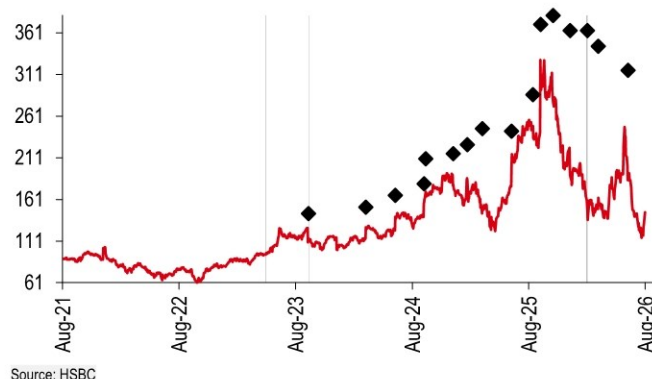


Rating & target price history

From	To	Date	Analyst
Add	Terminated	22 Feb 2010	
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	32.50	18 Oct 2002	
Price 2	347.00	14 Sep 2023	Stephen Bersey
Price 3	413.00	25 Oct 2023	Stephen Bersey
Price 4	516.00	01 Feb 2024	Stephen Bersey
Price 5	529.00	26 Apr 2024	Stephen Bersey
Price 6	533.00	01 Aug 2024	Stephen Bersey
Price 7	554.00	01 Nov 2024	Stephen Bersey
Price 8	566.00	24 Jan 2025	Stephen Bersey
Price 9	598.00	31 Jan 2025	Stephen Bersey
Price 10	626.00	01 May 2025	Stephen Bersey
Price 11	643.00	31 Jul 2025	Stephen Bersey
Price 12	648.00	27 Oct 2025	Stephen Bersey
Price 13	667.00	31 Oct 2025	Stephen Bersey
Price 14	588.00	29 Jan 2026	Stephen Bersey
Price 15	593.00	28 Apr 2026	Stephen Bersey
Price 16	571.00	30 Apr 2026	Stephen Bersey
Price 17	567.00	10 Jul 2026	Stephen Bersey
Price 18	595.00	31 Jul 2026	Stephen Bersey

Source: HSBC

Oracle Inc (ORCL.OQ) share price performance USD Vs HSBC rating history



Rating & target price history

From	To	Date	Analyst
Buy	Terminated	04 May 2023	
N/A	Buy	14 Sep 2023	Stephen Bersey
Buy	Restricted	02 Feb 2026	
Restricted	Buy	04 Feb 2026	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	17.95	18 Sep 2002	
Price 2	144.00	14 Sep 2023	Stephen Bersey
Price 3	152.00	12 Mar 2024	Stephen Bersey
Price 4	166.00	12 Jun 2024	Stephen Bersey
Price 5	180.00	11 Sep 2024	Stephen Bersey
Price 6	210.00	16 Sep 2024	Stephen Bersey
Price 7	216.00	11 Dec 2024	Stephen Bersey
Price 8	227.00	24 Jan 2025	Stephen Bersey
Price 9	246.00	12 Mar 2025	Stephen Bersey
Price 10	243.00	12 Jun 2025	Stephen Bersey
Price 11	287.00	18 Aug 2025	Stephen Bersey
Price 12	371.00	11 Sep 2025	Stephen Bersey
Price 13	382.00	20 Oct 2025	Stephen Bersey
Price 14	364.00	12 Dec 2025	Stephen Bersey
Price 15	Restricted	02 Feb 2026	
Price 16	364.00	04 Feb 2026	Stephen Bersey
Price 17	345.00	11 Mar 2026	Stephen Bersey
Price 18	316.00	12 Jun 2026	Stephen Bersey

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ALPHABET	GOOGL.N	377.65	04 Aug 2026	1, 2, 5, 6, 7
AMAZON.COM	AMZN.OQ	277.42	04 Aug 2026	1, 5, 6, 7
CoreWeave Inc	CRWW.N	91.90	04 Aug 2026	–
MICROSOFT	MSFT.OQ	492.81	04 Aug 2026	6, 7
ORACLE INC	ORCL.OQ	145.74	04 Aug 2026	1, 5, 6, 7

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
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